NETFLIX STOCK ANALYSIS

Fundamental Investment Analysis

Prepared by
KAN Wai Kit (Joe)

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This report contains two parts: **1. Fundamental Research** and **2. BUY-AND-SELL STRATEGY FOR NETFLIX**.

Investment view: Conditional Buy

Executive Summary

My conclusion is a **conditional buy rather than an unconditional recommendation**. Netflix remains a profitable global platform with double-digit revenue growth, strong operating margins, an expanding advertising business, and significant reach. At the same time, slower revenue growth, stagnating viewing hours, rising competition from YouTube and social video, and execution risk in advertising make the investment thesis dependent on continued engagement growth.

Share price	Forward P/E	Q3 revenue growth	Operating margin
$61.60	**17.7x-18.0x**	**11.8%-12.0%**	**34.6% in Q3**

1. Company and Business Overview

Netflix is a global entertainment company whose core business remains subscription streaming. The company earns revenue primarily through paid memberships, with advertising becoming a growing second revenue stream. Management continues to allocate roughly 95% of spending, and nearly all revenue, to the core offering of original and licensed films and series, supplemented by live events.

The business benefits from global scale, a large membership base, established distribution, a strong consumer brand, and an increasingly diversified content catalogue. The company reportedly serves more than 325 million paid memberships and reaches a global audience approaching one billion people. Netflix also reaches less than 45% of approximately 800 million broadband households, leaving room for further penetration.

2. Fundamental Analysis

Factor	Evidence	Interpretation
Revenue growth	Q3 revenue rose about 12% to $12.9 billion.	Growth remains healthy but has slowed from nearly 18% in Q4 2025, showing that the company is maturing.
Profitability	Q3 operating margin reached 34.6%; full-year margin guidance was approximately 31.5%.	Margin expansion demonstrates operating leverage and supports earnings growth even as revenue growth slows.
Advertising	Advertising revenue was still growing rapidly, although management reduced the 2026 target to about $2.7 billion.	Advertising is an important growth driver, but product delays and partner integration issues create execution risk.
International growth	India viewing hours rose 24% and revenue grew nearly 20%; most regions recorded double-digit constant-currency growth.	International markets provide a long runway and reduce dependence on the mature US market.
Cash deployment	$4.8 billion of shares were repurchased in Q3.	Strong cash generation supports capital returns, though repurchases create value only when the shares are attractively priced.
Engagement	Management acknowledged that viewing-hour growth was below its ambition.	Weak engagement could eventually limit pricing power, advertising inventory, and subscriber retention.

3. Valuation

At approximately $61.60 per share, Netflix had a market capitalization of around $253 billion and traded at roughly 17.7 to 18 times forward earnings. This was below the cited S&P 500 forward P/E of 19.2 times. The valuation appears reasonable if Netflix can sustain double-digit revenue growth, expand operating income by approximately 20%, and continue returning cash to shareholders.

The lower valuation does not automatically mean the stock is undervalued. The market may be discounting slower growth, weaker viewing-hour momentum, and uncertainty over the advertising business. My valuation view is therefore conditional: the stock looks attractive relative to its growth and margin profile, but **only if engagement stabilizes and advertising execution improves**.

4. Investment Thesis

1. Strong earnings and margin profile. Netflix continues to grow revenue at a double-digit rate while producing record operating margins. This combination can support earnings growth faster than revenue growth.
2. Global scale and remaining penetration opportunity. The company has extensive reach but still serves less than half of global broadband households. International growth, particularly in markets such as India, provides further room for expansion.
3. Advertising creates an additional monetisation engine. The advertising tier can attract more price-sensitive users and increase revenue per member. It also gives Netflix another way to monetise viewing time beyond subscription fees.
4. Valuation has become more reasonable. The decline from the previous high has reduced the earnings multiple to roughly 18 times, which appears more attractive than the valuation attached to Netflix during periods of stronger market optimism.

5. Key Risks and Counterarguments

- **Viewing-time competition:** YouTube reportedly reached 14.2% of US television time compared with 7.8% for Netflix. Netflix also competes with short-form social videos for limited consumer attention.
- **Content fragmentation:** Popular films and series are distributed across multiple platforms. Netflix is no longer the automatic destination for every widely discussed title, weakening the convenience that once differentiated the platform.
- **Pricing and value perception:** Higher subscription prices increase revenue but also require the service to deliver more value per hour watched. If engagement weakens, users may cancel or move to lower-priced alternatives.
- **Advertising execution:** The advertising business is growing, but management indicated that new products and partner integrations were behind schedule. Slower execution could delay expected growth.
- **Maturing growth profile:** Revenue growth slowed for several consecutive quarters. A lower growth rate could justify a lower valuation multiple even if margins remain strong.
- **Management and content transition:** Changes in content leadership may improve execution, but they also create uncertainty over content strategy and organizational stability.

6. Investment Decision and Position Management

Based on the available evidence, I would classify Netflix as a conditional buy and would prefer to accumulate gradually rather than invest the full amount immediately. The current valuation provides a more attractive entry point than the previous peak, but the investment case still depends on execution.

My key monitoring indicators would be:

- Revenue growth and operating-margin progression
- Viewing-hour growth, particularly in the United States
- Advertising revenue and progress towards management targets
- Churn following price increases
- International performance, especially in high-growth markets
- Free-cash-flow generation and the price paid for share repurchases

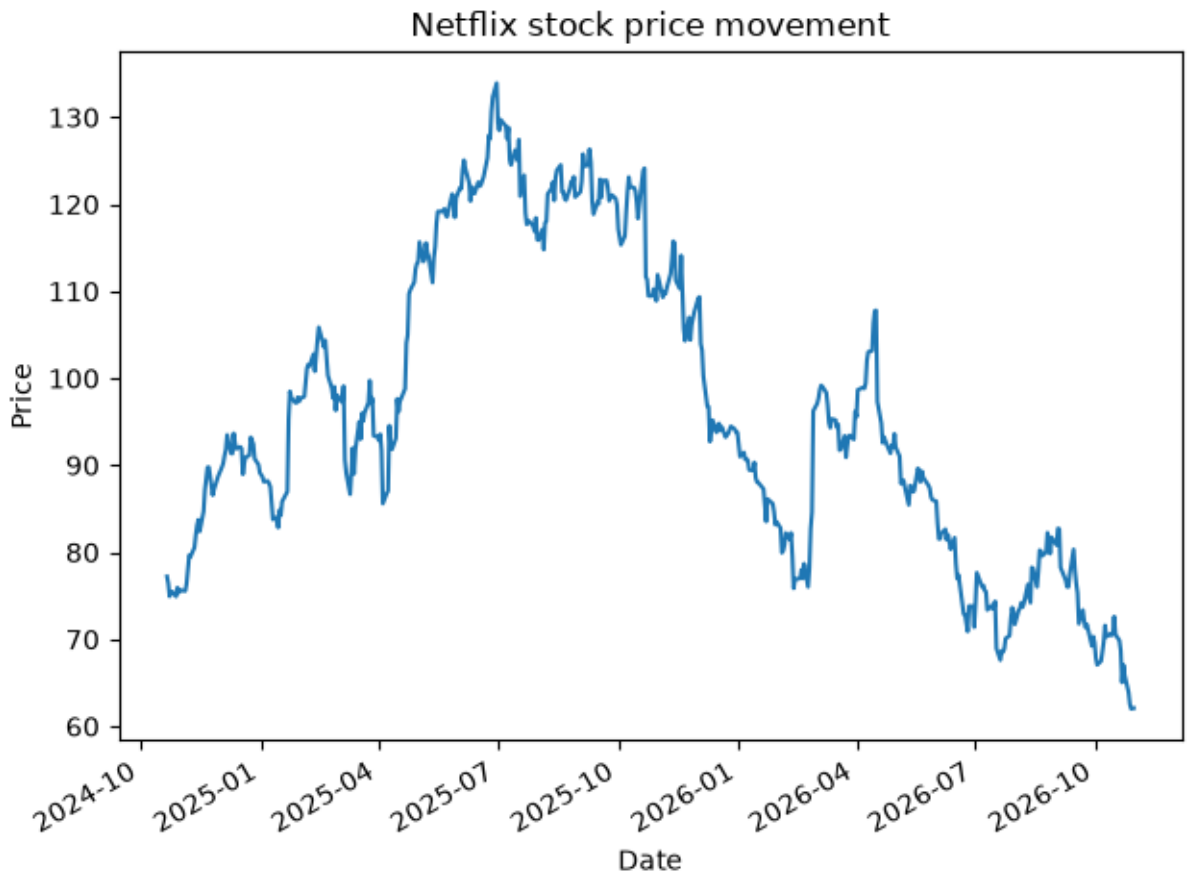
I would reconsider the investment if Netflix experienced sustained deterioration in viewing hours, rising churn after price increases, repeated advertising execution delays, or a material decline in margins.
Conversely, stronger engagement and successful advertising expansion would increase my confidence in the investment thesis.

Reference

- Netflix Q3 2026 earnings call transcript
- Netflix plan and pricing information
- Nielsen July Gauge report
- Yahoo Finance: Netflix market data
- TheStreet: Netflix and YouTube viewing competition
- The Motley Fool: Netflix valuation and viewing-time analysis

BUY-AND-SELL STRATEGY FOR NETFLIX

An Optimised Four-Moving-Average Leveraged Momentum Model



Prepared by KAN Wai Kit (Joe)

Study period: 21 October 2024 to 30 October 2026

Executive Summary

This report develops and evaluates a rule-based trading strategy for Netflix using Python. The strategy examines the stock's price movement through four moving averages and adjusts exposure according to the strength and direction of trend alignment. The objective is to determine whether a systematic approach can outperform a buy-and-hold benchmark over the selected period.

Test-period return	Buy-and-hold return	Full-period strategy return	Strategy Sharpe ratio
56.325%	**-32.610%**	**456.659%**	**1.662**

Key conclusion. The model outperformed the buy-and-hold approach in the reported test period and over the full selected sample.

Assumption: there are no transaction costs, bid-ask spreads, short-borrowing costs, and leverage financing costs.

1. Strategy Overview

This analysis uses a four-moving-average leveraged momentum strategy. The four trend lines are:

- Fast moving average (Fast MA)
- Medium moving average (Medium MA)
- Intermediate moving average (Intermediate MA)
- Slow moving average (Slow MA)

The rolling-window lengths increase from the Fast MA to the Medium MA, Intermediate MA, and Slow MA. The Fast MA therefore uses the shortest window and responds most quickly to recent price changes, while the Slow MA uses the longest window and reflects the broader trend.

2. Model Methodology

Python is the main tool used for data preparation, calculation, optimisation, and backtesting. The model uses a chronological train-test split: 75% of the observations are used to identify the four rolling windows, and the remaining 25% are reserved for out-of-sample testing. The key part of the model is the algorithm, which is used to derive the right rolling window.

Step	Stage	Description
1	**Prepare the data**	Retrieve and clean Netflix historical closing prices, then calculate daily simple and log returns.
2	**Generate candidate windows**	Create candidate rolling-window lengths and evaluate all valid four-window combinations in ascending order.
3	**Assign positions**	Use moving-average alignment to determine long, short, and leveraged positions.
4	**Optimize**	Select the window combination that produces the highest training-period strategy return.
5	**Backtest**	Apply the selected windows to the test period and compare performance with buy and hold.

3. Position Rules

Moving-average condition	Position	Meaning
Fast > Medium > Intermediate > Slow	**2**	2x leveraged long
Fast < Medium < Intermediate < Slow	**-2**	2x leveraged short
Fast > Medium, but not fully aligned	**1**	Normal long
Fast < Medium, but not fully aligned	**-1**	Normal short

Moving-average condition	Position	Meaning
Insufficient data or equal MAs	**0**	No position

A one-period lag is applied to the position before calculating strategy returns. This ensures that a signal formed using the current day's closing price affects the next trading period rather than the return that has already occurred.

4. Model Training Results

The optimisation process selected the following rolling windows from the training sample:

Fast MA	Medium MA	Intermediate MA	Slow MA
3 days	**5 days**	**6 days**	**7 days**

The selected windows are short and closely spaced. This makes the strategy highly responsive to recent price changes.

Different stocks may have their own suitable rolling windows, which are not necessarily unchanged forever. Hence, the results computed for Netflix are not automatically applicable to other stocks and are not always the same as they are now.

5. Out-of-Sample Test Results

The selected parameters were applied to the remaining 25% of the data. Buy and hold is used as the benchmark for evaluating the model.

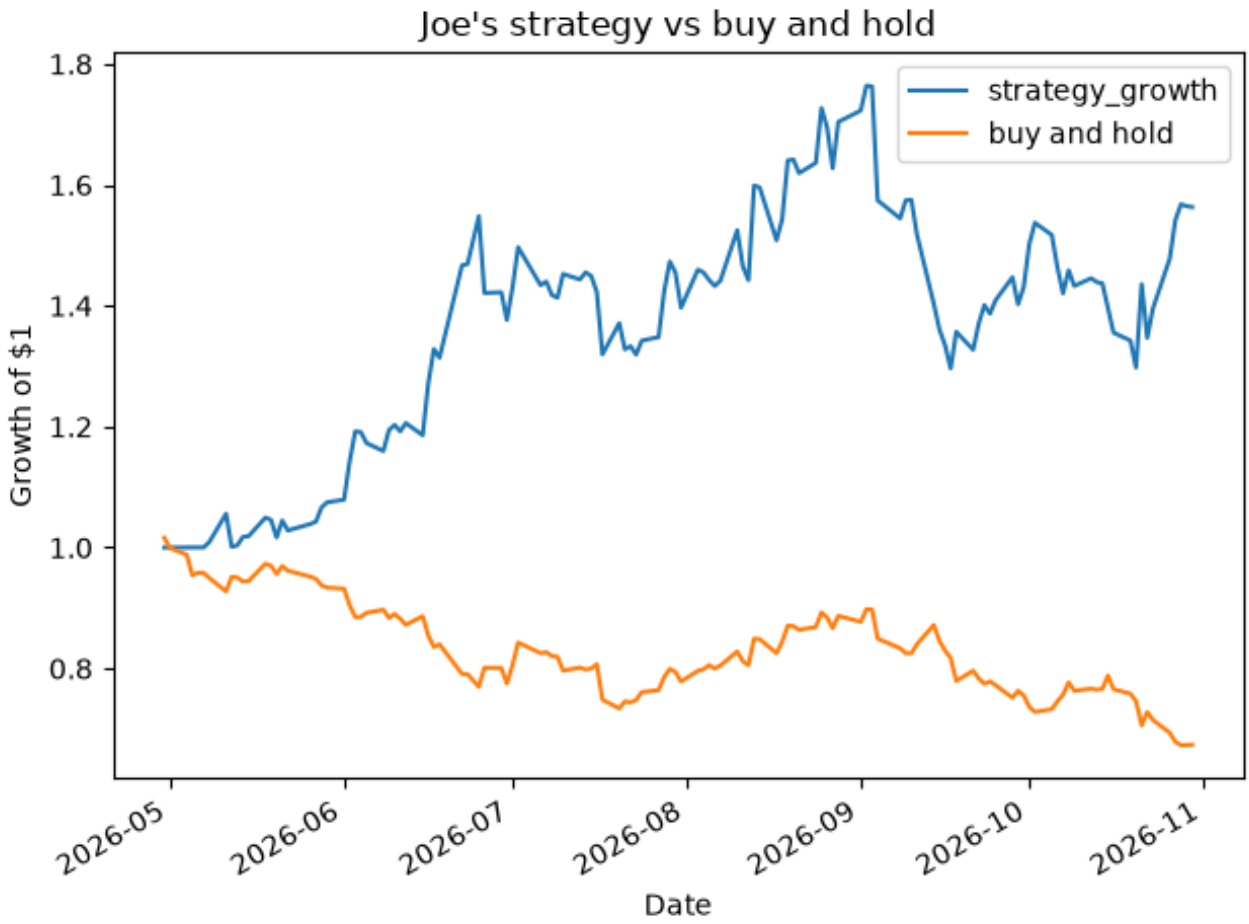


Figure 1. Out-of-sample growth of $1: strategy versus buy and hold.

From 30 April 2026 to 30 October 2026, my strategy generated a return of 56.325%, while buy and hold returned -32.610%. This indicates that the strategy performed strongly during the test period, particularly because the long-short rules allowed the model to take negative exposure when the moving averages indicated a downward trend.

6. Full-Period Illustration

For a longer illustration, I applied the trained parameters to the entire selected period. This chart includes the training observations.



Figure 2. Full-period growth of $1: strategy versus buy and hold.

Between 21 October 2024 and 30 October 2026, the strategy generated a reported return of **456.659%**, compared with **-19.593%** for buy and hold. My strategy outperforms the buy-and-hold method because when the stock market crashes, Netflix's stock price will fall, making the buy-and-hold method ineffective. Yet my strategy sells and buys at the right timing to profit.

7. Risk Adjustment Performance

Measure	Strategy	Buy and hold
Annualized Sharpe ratio	1.662	-0.263

The strategy Sharpe ratio of 1.662 indicates good historical risk-adjusted performance, while the negative buy-and-hold Sharpe ratio indicates that the benchmark underperformed the assumed risk-free return over the evaluation period after accounting for volatility.

Risk-free-rate assumption. An annualized three-month US Treasury yield of 4.16% is used as the risk-free-rate proxy. A short-term Treasury rate is appropriate because it represents a liquid, government-backed, cash-like alternative with relatively limited duration risk. The annual rate is converted to a daily equivalent before calculating daily excess returns.

8. Limitations and Practical Considerations

- The selected windows are very short, which may generate frequent position changes and reduce performance after costs.
- Leveraged positions magnify both gains and losses and may be subject to margin requirements or forced deleveraging.

9. Stress Test

Netflix Moving-Average Trading Strategy

This analysis evaluates how the out-of-sample performance of the trading strategy changes under adverse execution and market conditions. The tests examine trading costs, execution delays and an extreme upward price shock while the strategy is short.

Decision rule: A category passes when its worst tested total return and worst Sharpe ratio both remain positive. The overall result is FAIL if any category fails this conservative rule.

9.1. Transaction-Cost and Slippage Stress Test

Slippage was tested from 0.01% to 0.19%, while explicit transaction costs were tested from 0.00% to 0.09%. Both assumptions increased in 0.01% increments, producing 190 combinations. The combined rate therefore ranged from 0.01% to 0.28% per unit of turnover.

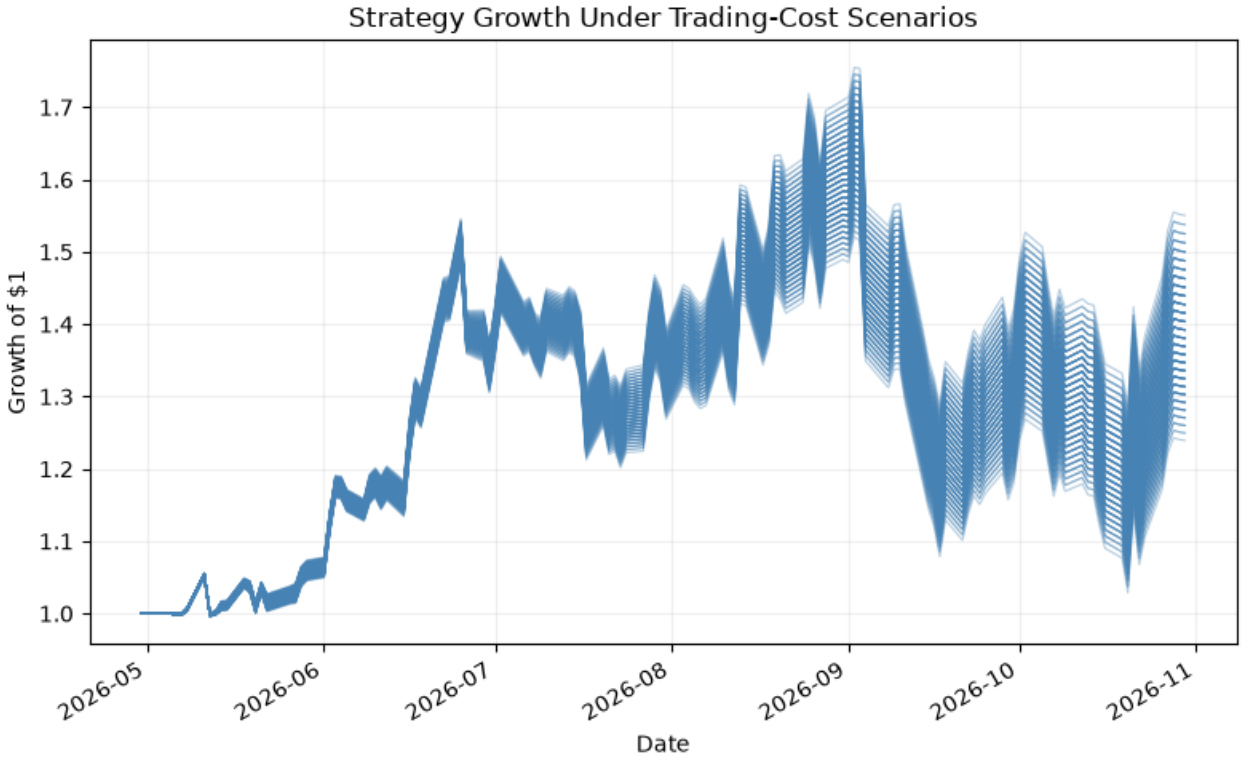


Figure 2. Cumulative growth across 190 transaction-cost and slippage combinations.

Result: Total return ranged from 23.92% to 55.04%. Even under the most expensive tested combination, the return remained positive and the worst Sharpe ratio was 1.020. The strategy therefore passed the trading-cost stress test.

Interpretation: Performance decreases as execution costs rise, confirming that turnover is economically important. Nevertheless, the positive worst-case result suggests that the strategy is not profitable only because of a zero-cost assumption.

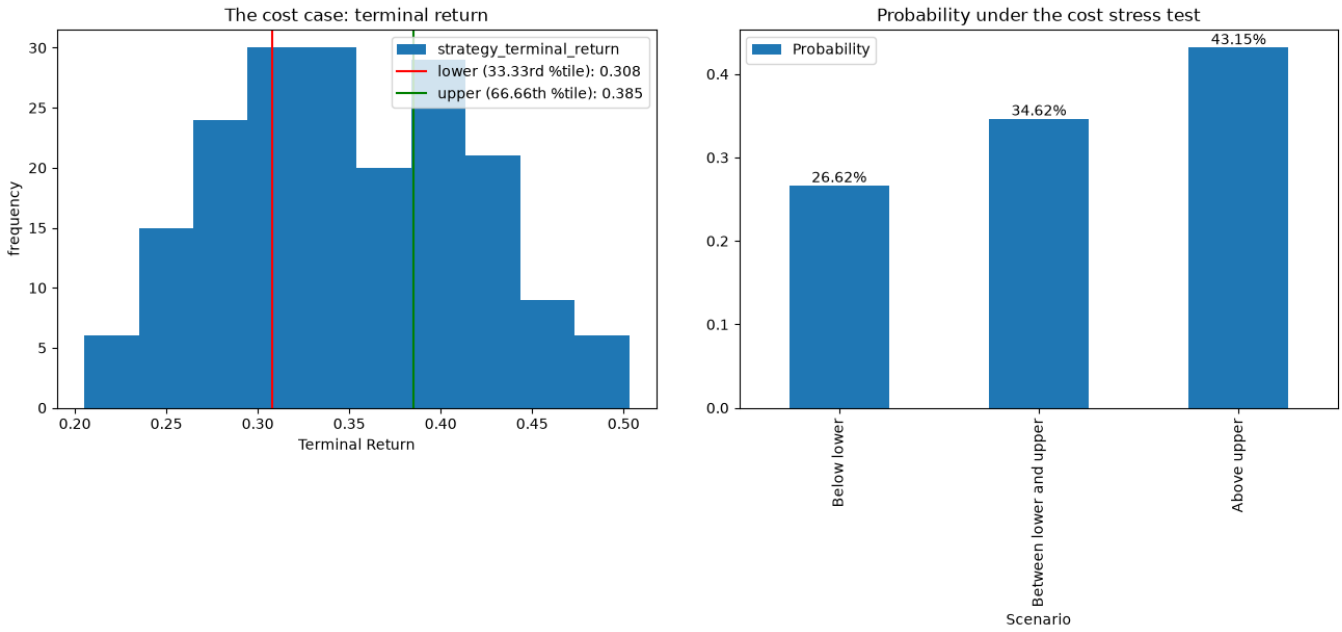


Figure 3. Distribution and probability classification of terminal returns across 190 transaction-cost and slippage scenarios.

The left plot shows the distribution of terminal returns after incorporating different combinations of transaction costs and slippage. The red and green vertical lines mark the 33.3rd and 66.7th percentiles, respectively. As shown in the right plot, 26.62% of the scenarios fall below the lower threshold, while 43.15% exceed the upper threshold. This result suggests that higher terminal returns remain relatively common after accounting for trading costs.

9.2. Execution-Delay Stress Test

The execution-delay test compared no delay with delays of one to four trading days. For each case, the position signal was shifted before being applied to the stock return, allowing delayed implementation to affect the realised strategy return directly.

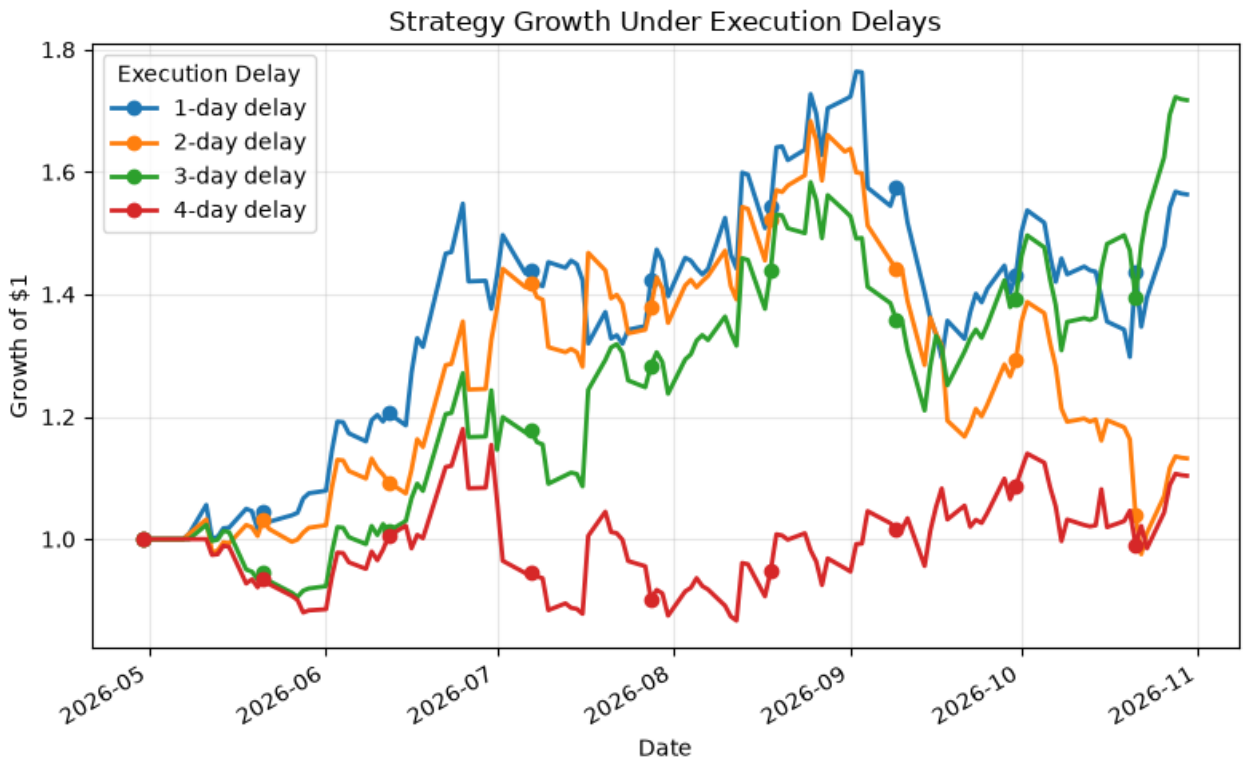


Figure 4. Cumulative growth under zero- to four-day execution delays.

Result: Terminal return ranged from 10.35% to 71.73%, and the worst Sharpe ratio was 0.618. All tested delays remained profitable, so the strategy passed this category.

Interpretation: The wide return range shows that the strategy is timing-sensitive. A longer delay does not necessarily produce a monotonically worse result because each shift changes which daily returns are captured. The higher return under one particular delay should therefore be treated as a sample-specific outcome, not evidence that delayed execution improves the strategy.

9.3. Short-Position Shock Test

The final test examines short-squeeze risk by imposing positive one-day Netflix returns of 5.0%, 10.0%, 20.0% and 35.1% on a date when the strategy holds a short position. A positive return is adverse for a short position, and the loss is magnified when the position is −2.

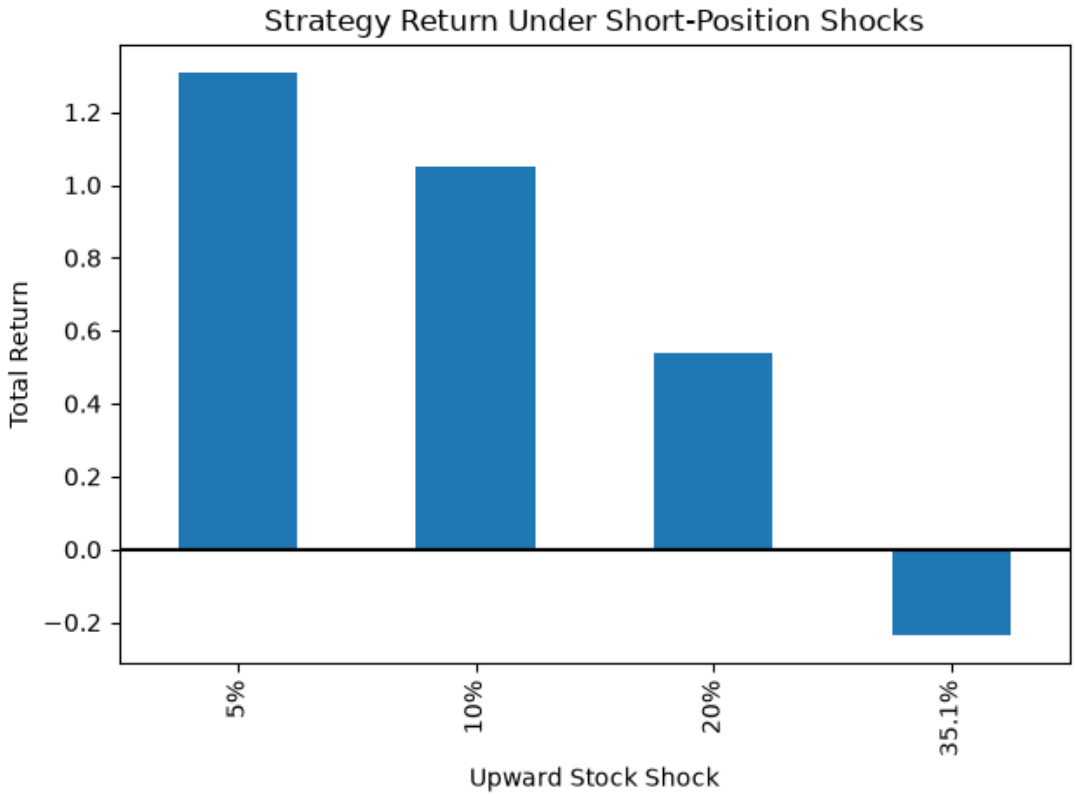


Figure 5. Terminal strategy return under upward price shocks while short.

The 35.1% scenario represents an **extreme Netflix-specific benchmark** based on the company's reported one-day decline of the same magnitude in April 2022, applied in the opposite direction to stress a short position. It is a tail scenario rather than a typical daily movement.

Result: The worst total return was −23.64%, although the worst Sharpe ratio remained positive at 0.551. Because the total-return criterion was breached, this category failed.

9.4. Overall Decision

Stress test	Worst total return	Worst Sharpe ratio	Decision
Trading costs	23.92%	1.020	**PASS**
Execution delay	10.35%	0.618	**PASS**
Short-position shock	−23.64%	0.551	**FAIL**

Overall stress-test decision: FAIL. The strategy passed the trading-cost and execution-delay tests but failed the **extreme short-position shock test**. The correct conclusion is not that the strategy will always fail, but that it is not robust to all tested tail events under the current position rules.

10. Conclusion

This report presents an optimised four-moving-average leveraged momentum strategy for Netflix. The strategy uses systematic rules to identify bullish and bearish trend alignment, increases exposure when all four moving averages agree, and compares the resulting performance with buy and hold. The reported test-period return and Sharpe ratio are encouraging, although the potential, rare position shock should be closely monitored.